International Political Economy (IPE)

Questions . . .

Which three areas of IPE does this course examine?

Q1: Tr_e

Q2: I__e__tm__t

Q3: M__et__r_ Arrangements

Q4: To which of the above area is IMF most closely related?

Q5: To which of the above are is WTO most closely related?

Q6: To which of the above area is FDI most closely related?

Q7: To which of the above area is MNC most closely related?

Q8: What does MNC stand for?

Q9: What does FDI stand for?

Q10: Which area is covered in the textbook but not going to be covered in the lectures?

Key points

- Understanding IPE
  - Four Issues
  - Two Questions (and more. . .)
    - Explanatory
    - Evaluative
    - (+ Descriptive + Mixture of all . . .)
  - Role of Governments
  - Policy Choices
    - Interests
    - Political Institutions
- Trends in IPE
  - Hegemonic Stability Theory
  - Colonial Globalization, Inter-war period, Bretton Woods, Interdependence, Globalization . . .
  - Characteristics of current global economy

What is IPE

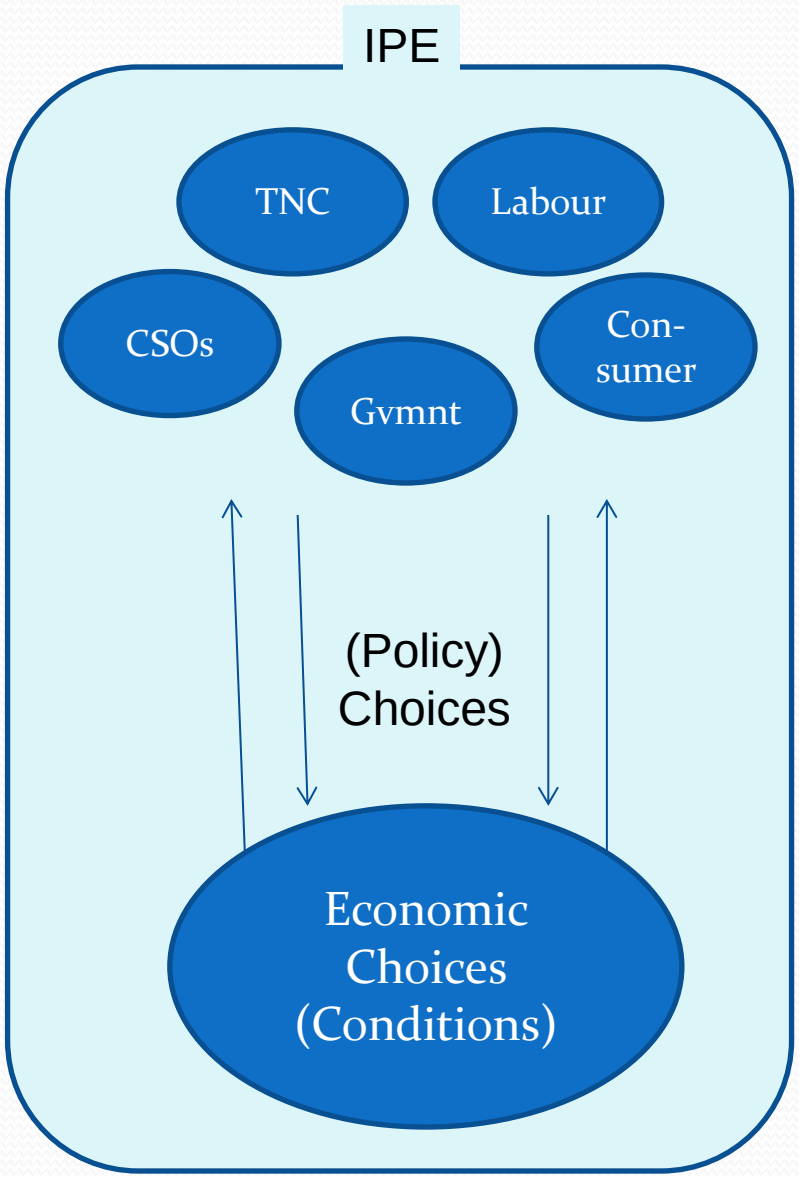
What does IPE study?

- The political **battle** between **the winners** and **losers** of global economic exchange. (2p.)

- "The way in which **political** and **economic factors interact** at the global level" (Walter and Sen 2009, 1)

  - How politics constrains economic choices (P → E)
    - policy choices by **governments** and **social groups**

  - How economic forces motivate and constrain political choices (E → P)
    - of actors at various level – individual, local, sectorial, national, global



Four Issues

- Trade
- MNCs
- Monetary System
- Development

but. . .

Deeply connected to each other . . .

For this course, ‘Development’ will not be discussed in this course . . .

Assignment 0 – not graded!

- Have you got news for me?

Two questions . . .

- Explanatory studies:
  - How does politics **shape the decisions** that societies make?
    - Labour, Consumers, Civil Society Organizations, MNCs, Governments, Inter-Governmental Organizations(IGOs),
    - Through different political institutions and processes. . .
- Evaluative studies:
  - What are the **consequences** of these decisions?
    - **Welfare Consequences** – the level of societal well-being
    - **Distributional Consequences** – influence how income (or 'well-being') is distributed
      - between groups within countries
      - between nations

Explanatory or Evaluative? (or descriptive?)

1. What motivates governments to take particular policies in relation to trade, investment and monetary arrangements?

- Discuss in relation to establishing RTAs, support of WTO, regulation on trade and investment, protectionism and industrialization, exchange rates regime; and in relation to the domestic interest groups and the domestic and international political goals of the state

2. Are certain policies better than others for a country?

- Discuss in relation to a) strong currency, b) protectionism against free trade and FDI, c) closed capital account.

Explanatory or Evaluative? (or descriptive?)

3. Is there a hegemonic shift in international economic relations?

- Discuss in relation to the US hegemony or the prospects of the liberal orthodoxy of current global institutions of capitalism (WTO, WB, IMF)

4. How can we improve the international financial, trade or investment system?

- Discuss in relation to problems such as financial crisis, poverty, race to the bottom and evaluate proposed solutions

Perspectives on IPE

	Mercantilism	Liberalism	Marxism
Most Important Actor	The State	Individual	Classes (Capitalist and Labour)
Role of the State	Intervene in the economy to allocate resources	Establish and enforce property rights to facilitate market-based exchange	Instrument of the capitalist class
Image of the International Economic System	Conflictual	Harmonious	Exploitative:
Proper Objective of Economic Policy	Enhance power of the state	Enhance aggregate social welfare	Promote an equitable distribution

Three traditional schools of IPE (Oatley 2012, 12)

Government's role. . .

- Macroeconomic policy
  - Fiscal policies
    - Taxes
    - Government expenditure
  - Monetary policies
    - Interest rates
    - Exchange rates

- Provide 'Conditions of production'
  - Physical infrastructure
    (roads, railways, airports, seaports, telecommunications systems)
  - Human infrastructure
    (education, welfare)

. . . Government's role

- Regulating Trades
  - Import
    - Tariffs: taxes levied on the value of imports
    - Non-tariff barriers (NTBs): quantitative and technical measures
  - Export:
    - Subsidies
- Regulating FDIs
- Promoting Industrialisation – through subsidies, tax breaks, as well as protective trade and FDI policies
- But… Each country does it differently. . . !

Explaining Policy Choices

- **Interests** – the **goals** or **policy objectives** the central actors want to achieve through international economic policy
  - Actors? – individuals, firms, labour unions, interest groups, government
  - Two types of interests:
    - **Material interests**
    - **Ideas** – mental models that provide a coherent set of beliefs about cause-and-effect relationships

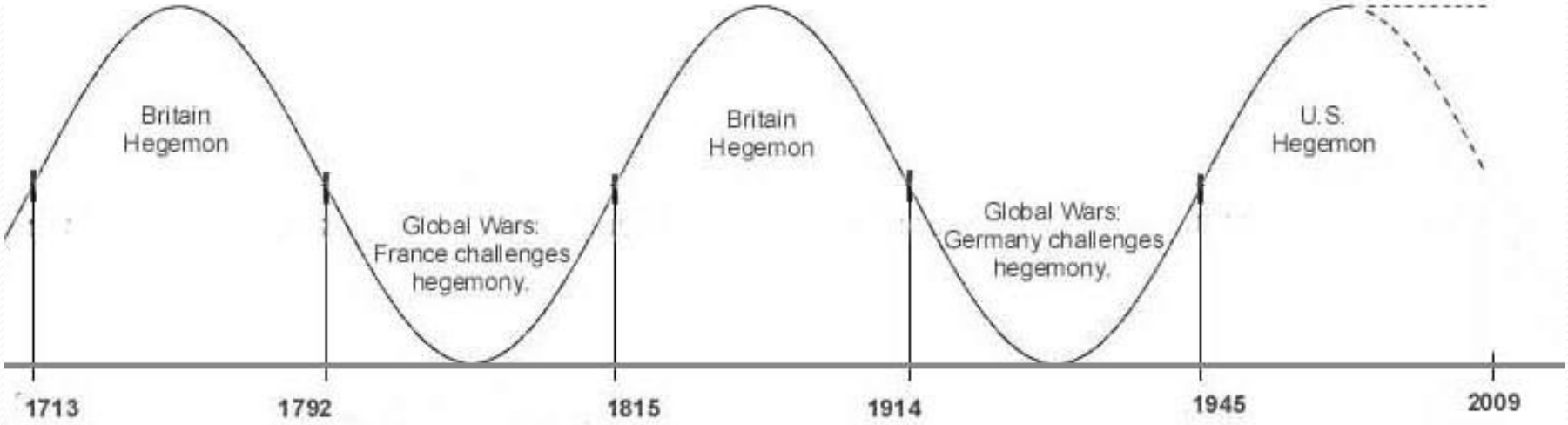
- **Political institutions** - establish rules governing the political process to make collective decision
    - Can **choose** which groups are empowered to make choices
    - Can **make rules** concerning how to make (collective) decisions
    - Can help **enforce** these decisions → problem for international system…

The Global Economy in Historical Context

Hegemonic Stability Theory

- **Hegemonic stability theory (see Oatley 2012, chapter 2, p.28-32):**
  - A country with large economy benefits a lot from free trade and investment → willing to bear the cost of maintaining open global market for free trade
  - E.g.) Financial instability – caused by the lack of hegemon to impose order on global economy (by functioning as the 'lender of last resort') (See also Eichengreen 1996)
  - But when a hegemon decline in power it becomes less willing to bear the cost
  - Leads to the rise of a new hegemon

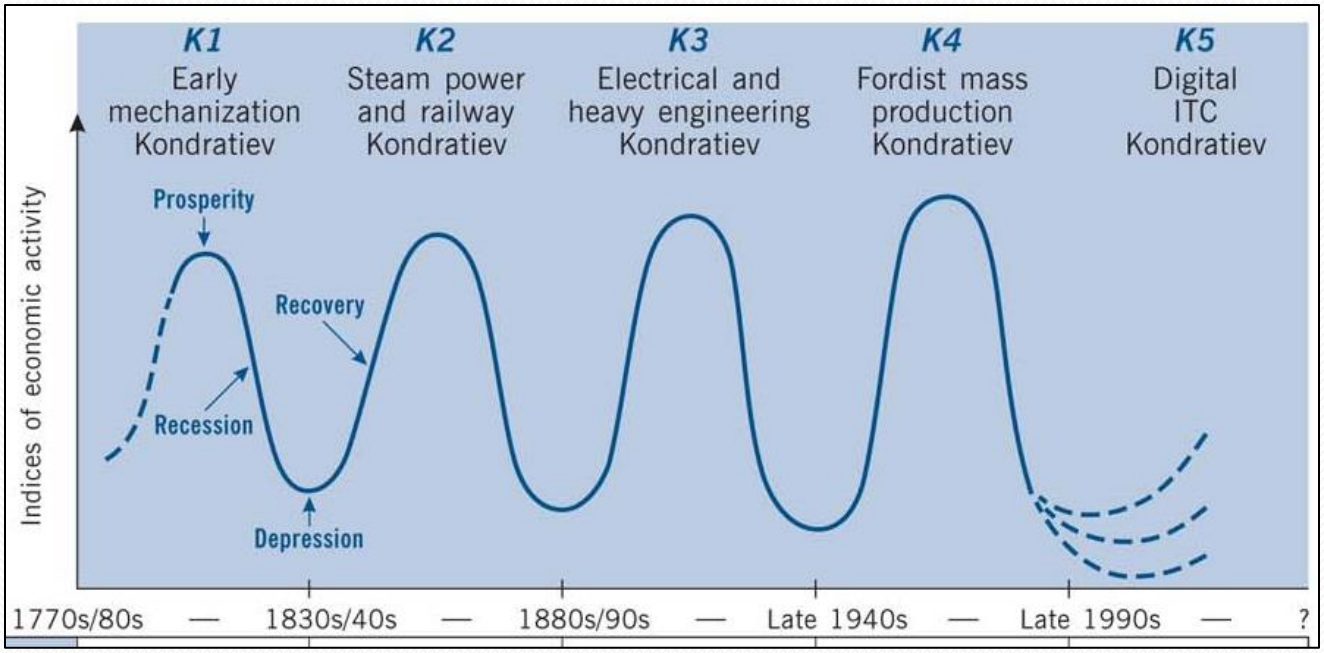
Timeline of World Hegemons and Global Wars



Modelski, G. 1978. “The long cycle of global politics and the nation-state’. *Comparative Studies in Society and History 20*. 214-235 (see http://abuss.narod.ru/Biblio/WS/ws-history1_2.htm)

First Wave of Globalization : Technological Change

- Developed over 300 years
- but accelerated with the steam engine and telegraph in the 19th century



(Dicken 2011, 79)

- Kondratiev (K-) Waves: Capitalism goes in cycles: Prosperity, recession, depression and recovery
- Each wave is associated with particularly significant technological changes
  - Changes in techno-economic paradigm

First Wave of Globalization: Political Structure

- Britain as the hegemon

- Reducing trade barriers
  - Britain repealing Corn Laws (1842)
  - Bilateral treaties
    - Cobden-Chevalier Treaty (1860, Britain and France)
      - → wave of bilateral treaties to reduce tariffs
      - → reducing trade barriers throughout Europe and (colonized) developing world

- Stable international monetary system
  - Adoption of **gold standard** starting with Britain (1844)
    - → see also "A Closer Look: The Classical Gold Standard" (Oatley 2012, 208-210)
  - Germany (1870-1)
  - Japan (1897)

The Interwar Period

- Decline of Globalization
  - Governments started to implement protectionism
    - (e.g.) France renewal of tariffs on British goods at the end of the 19th c.
  - Britain – unable to maintain liberal market
  - Debt and low growth in Europe
  - US – unwilling to bear the burden of being the hegemon
    - Refusal to cancel war-debt
  - Growing protectionism

- Great Depression in the 1930s
  - Contracting demands → Stock market crash 1929 → Bank failure → rising unemployment → Contracting demands
  - Countries adopted protective (retaliatory) tariffs and devalued currencies to keep **comparative advantage** : "Beggar-thy-neighbour polices"
  - Paralysis of international trade and financial system

The Bretton Woods System (1945-1971)

- Post War order negotiated at Bretton Woods in 1944

- Main objectives:
  - to prevent another Great Depression
  - to rebuild war-torn economies of Europe

- Institutions created to maintain international economy open:
  - Trade : **GATT** (General Agreements on Tariffs and Trade)
  - Monetary system: **IMF** (International Monetary Fund) + Gold Standard
    - Gold Standard - not implemented but replaced by dollar standard (Conversion of dollars at $35 per ounce)
  - Development Assistance: **World Bank** Group
    - IBRD (International Bank of Reconstruction and Development)
    - IDA (International Development Agency)
    - IFC (International Finance Corporation)
    - MIGA (Multilateral Investment Guarantee Agency)

Rise of Neo-liberalism, 1980s

- Collapse of the Bretton Woods system in 1971
  - US Withdrawal from the Gold conversion (1971) → currency float
  - New Protectionism despite GATT
  - Oil crisis 1973 → Stagflation

- Milton Friedman
  - Monetary policies to bring inflation under control
  - Interest rates rather than direct control over the supply of money

- 1980s
  - Rolling back the state: privatisation, deregulation
  - Debt Crisis: changed IMF's role: financial assistance to debt-ridden economies in exchange for structural adjustment → conditionality
  - **Globalisation** led by private corporations

- GATT replaced by WTO in 1995

Characteristics of Global Economy since the 1980s:

Volatility of economic growth

- Golden age: 1950-1970
- Recession and recovery . . .
- Exports have grown much faster than output in virtually every year since 1960

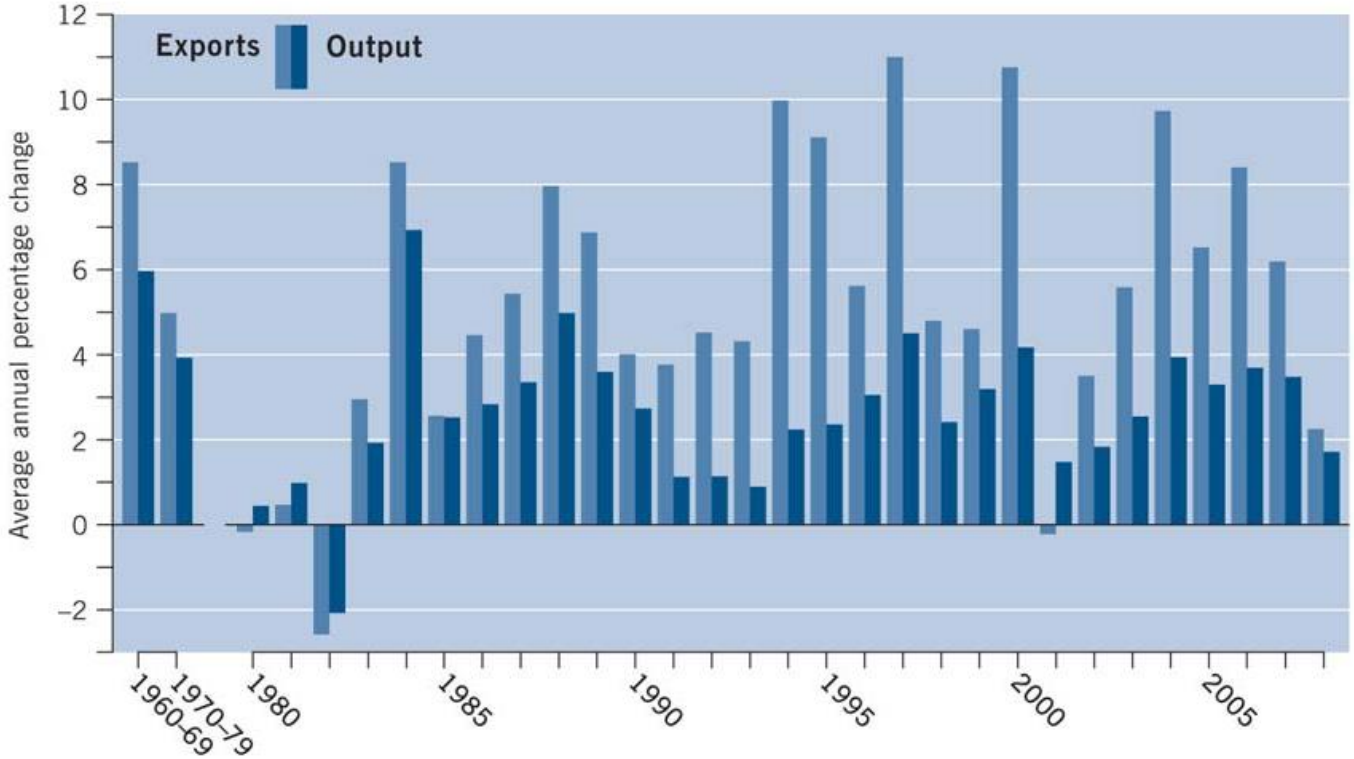


Figure 2.3 **The roller-coaster of world merchandise production and trade, 1960–2008**

Source: calculated from GATT/WTO *International Trade Statistics*, various issues

(Dicken 2011, 17)

Interconnectedness: Trade

- Since 1960 world merchandise trade increased 20 times (production increased just over 6 times)
- Increasing importance of trade for national economies

Table 2.1 The increasing importance of trade for national economies, 1960–2007 (exports + imports as % GDP)

	1960	1970	1985	1995	2007
By income group					
High income	23.7	27.1	37.3	39.8	49.1
Middle income	..	..	..	55.9	55.9
Upper-middle income	34.3	36.4	41.8	51.4	52.0
Lower-middle income	..	..	..	58.7	59.6
Low income	..	34.6	41.8	60.5	62.6
By region					
East Asia and Pacific	20.1	18.6	35.7	58.3	75.3
China	9.3	5.2	24.0	40.4	67.8
India	12.5	8.2	15.0	27.7	30.8
Latin America and Caribbean	25.8	23.4	30.8	35.6	41.2
Sub-Saharan Africa	47.4	44.3	51.0	56.1	59.7
World	24.5	27.1	37.1	42.5	51.0

Source: based on Kaplinsky, 2004: Table 1; World Bank, 2009a: Table 6.1

Interconnectedness: Trade

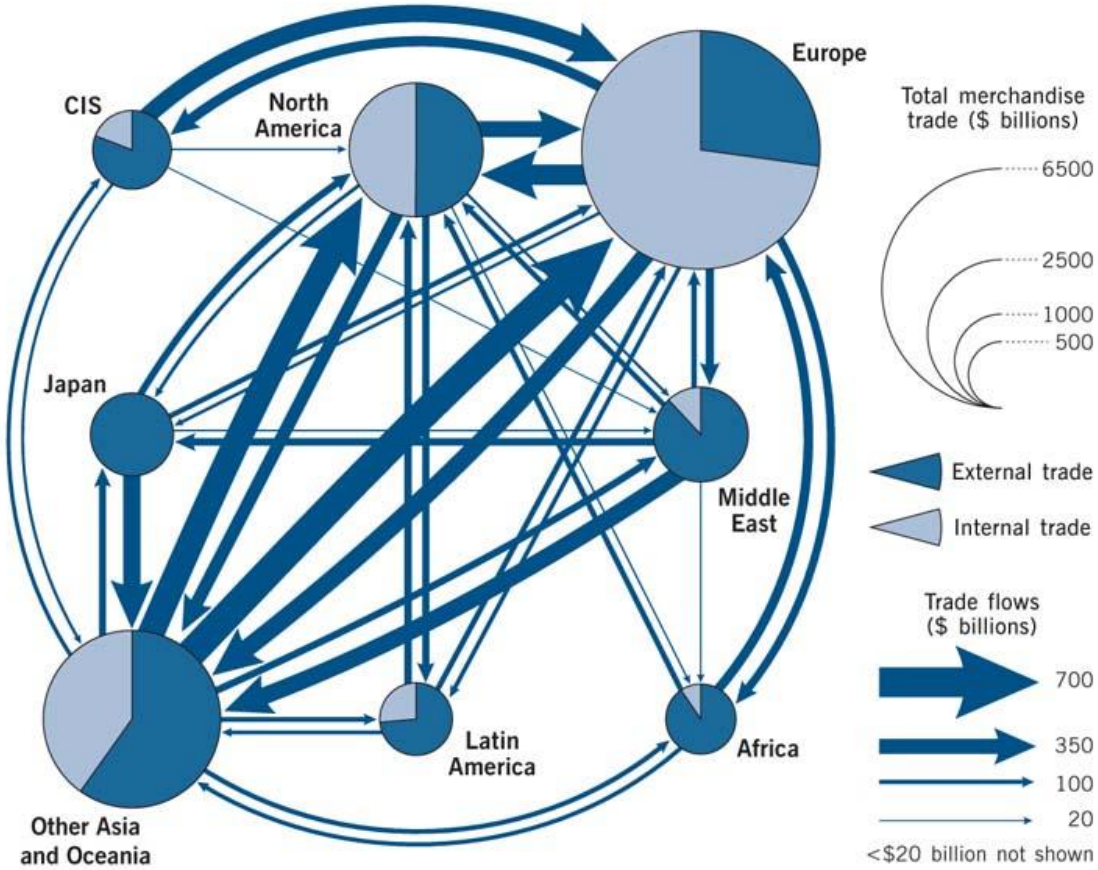


Figure 2.4 The network of world trade, 2008

Source: calculated from WTO, 2009: Table A2

- Europe:
  - ¾ internal,
  - 7% to N. America,
  - 7% to Asia
- Asia:
  - About ½ internal,
  - 20% to N. America,
  - 18% to Europe
- N. America:
  - ½ internal,
  - 20% to Asia /Europe,
  - 8% to Latin America

(Dicken 2011, 19)

Interconnectedness: FDI

- FDI has grown faster than trade
- Growing importance TNCs (2/3 of world exports)
- Significant intra-firm trade (2/3 of total world trade)
  - Internal decisions of TNCs not external market
  - More complex TNCs → more fragmented production circuits

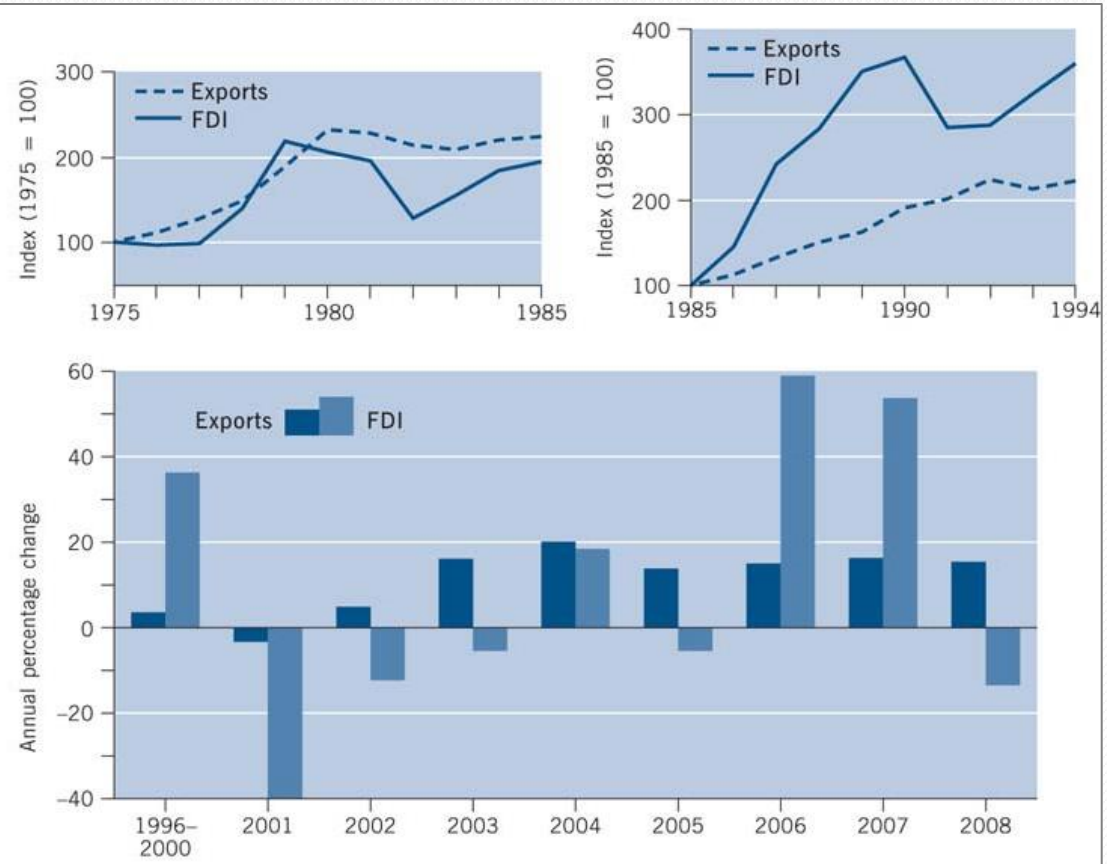


Figure 2.5 Growth of foreign direct investment compared with exports, 1975–2008

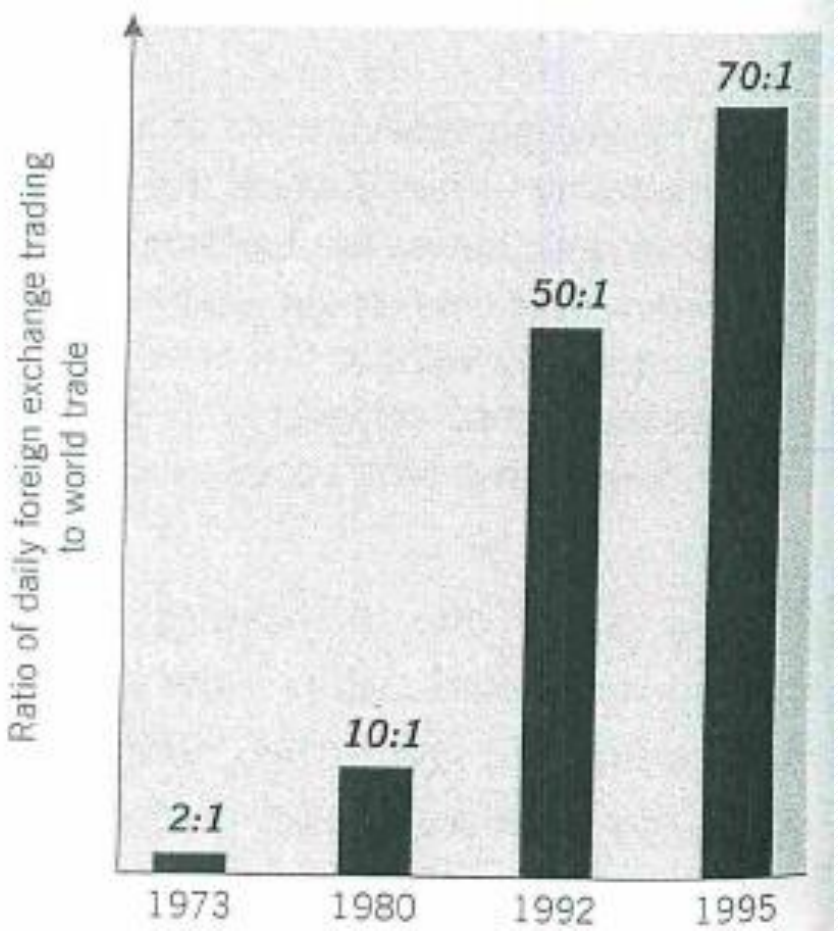
Source: calculated from UNCTAD *World Investment Report*, various issues

(Dicken 2011, 21)

Financialization

- Increasing role of financial motives, markets, actors and institutions in the operation of the domestic and international economies

- Coincided with a growing tendency by firms to break up the process of producing goods and services and locate different parts in different locations

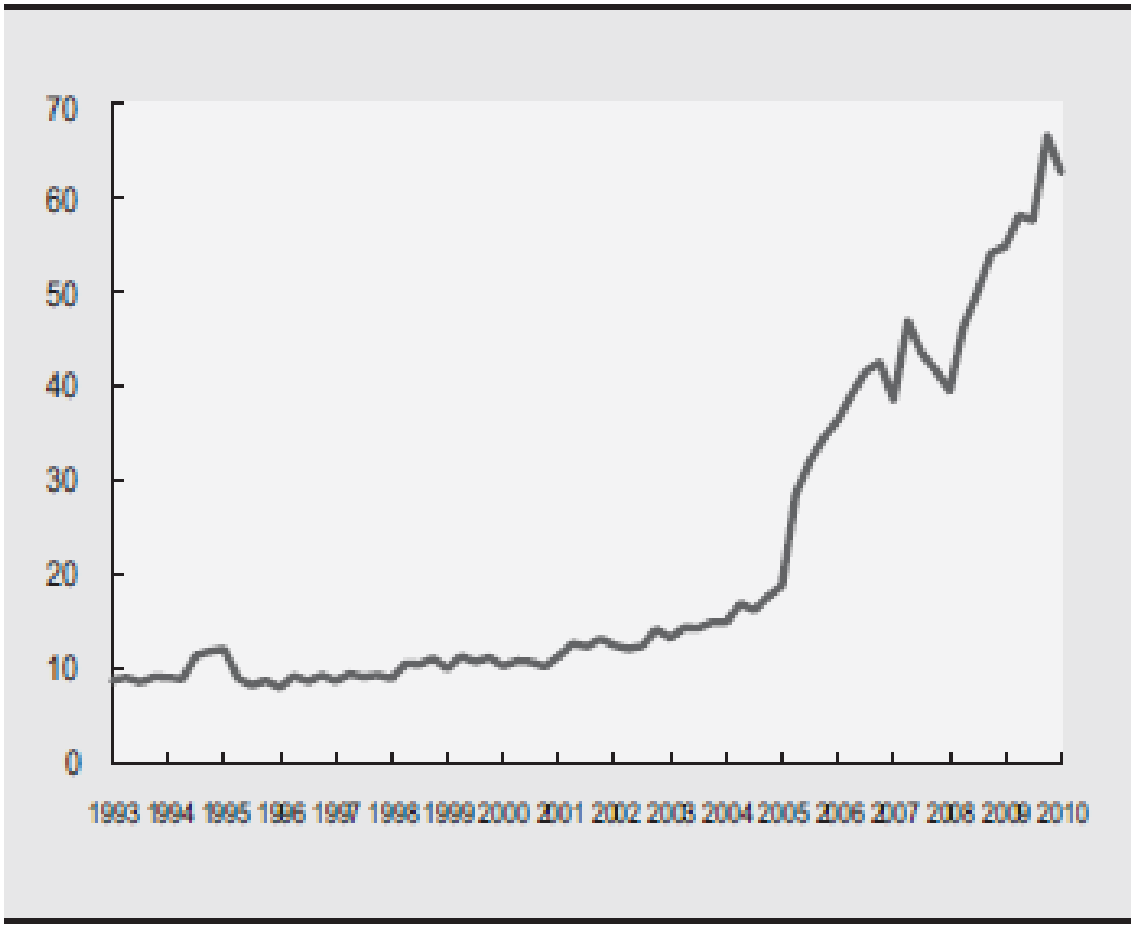


(Dicken 2011, 369)

Figure 4

FUTURES AND OPTIONS CONTRACTS OUTSTANDING ON COMMODITY EXCHANGES, DECEMBER 1993–DECEMBER 2010

(Number of contracts, millions)



Source: Bank for International Settlements (BIS), *Quarterly Review*, March 2011, table 23B.

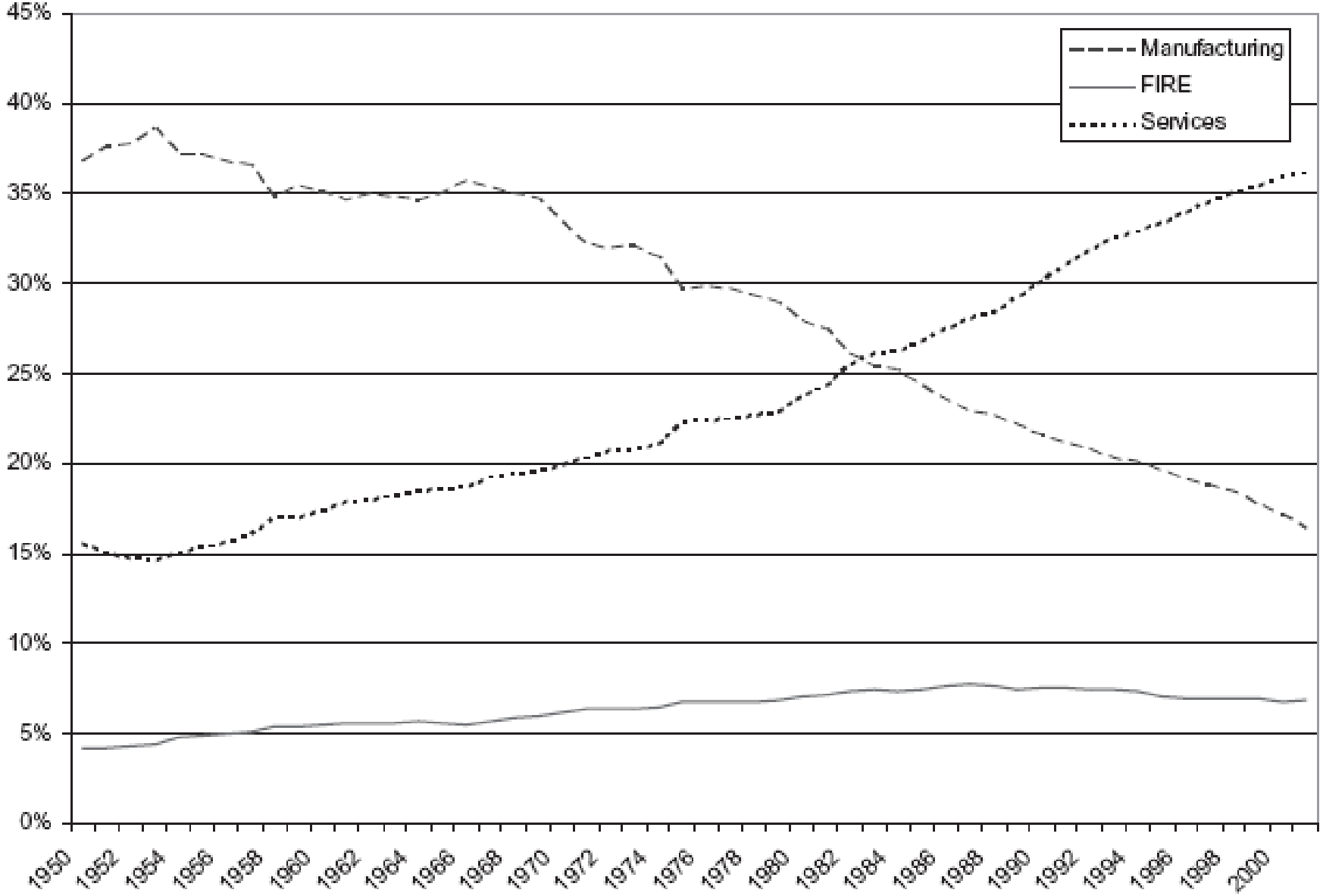


Figure 1 Relative industry shares of employment in US economy, 1950–2001.

FIRE: Finance, Insurance, Real Estate

(Krippner 2005, 178)

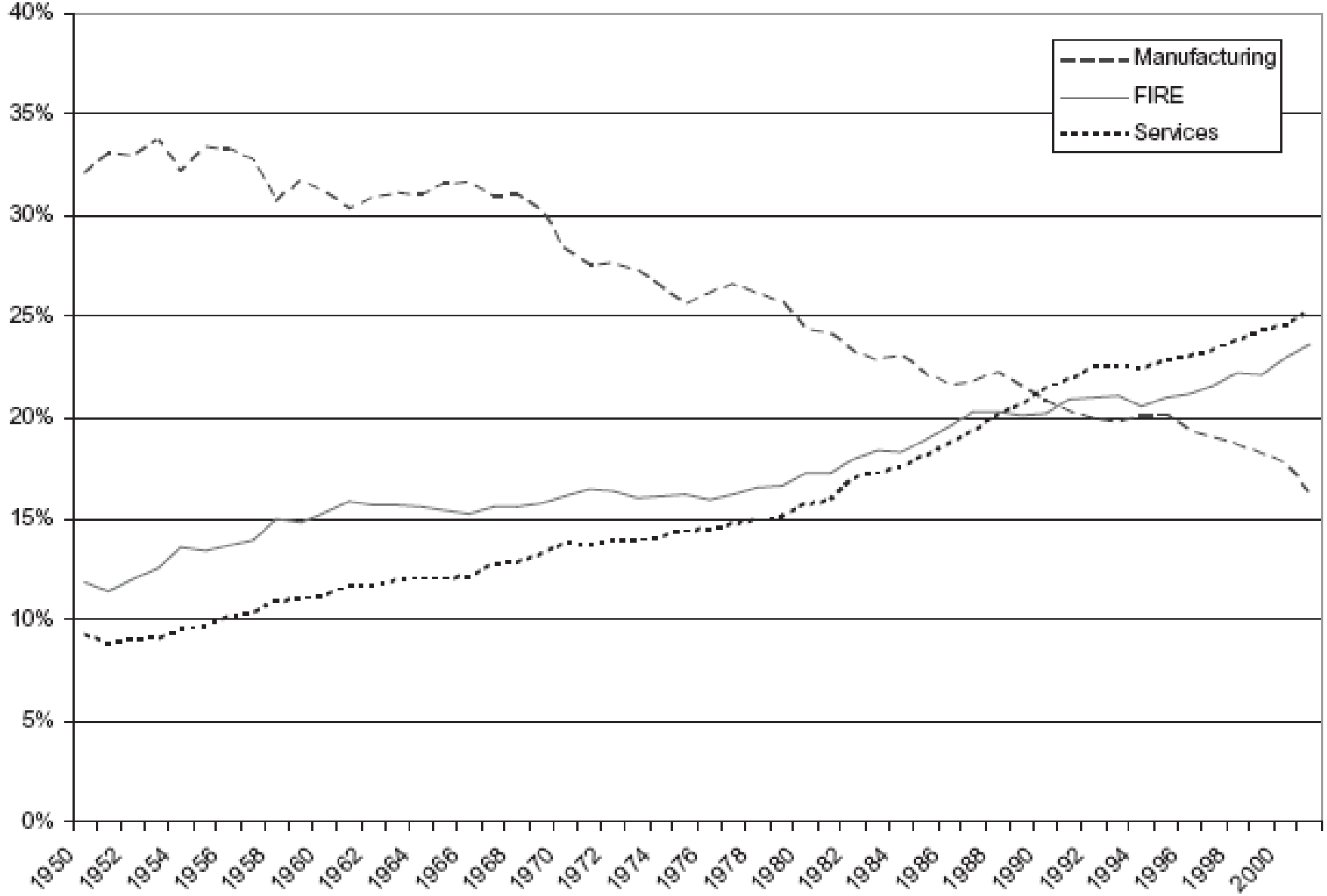


Figure 2 Relative industry shares of current-dollar GDP in US economy, 1950–2001.

(Krippner 2005, 178)

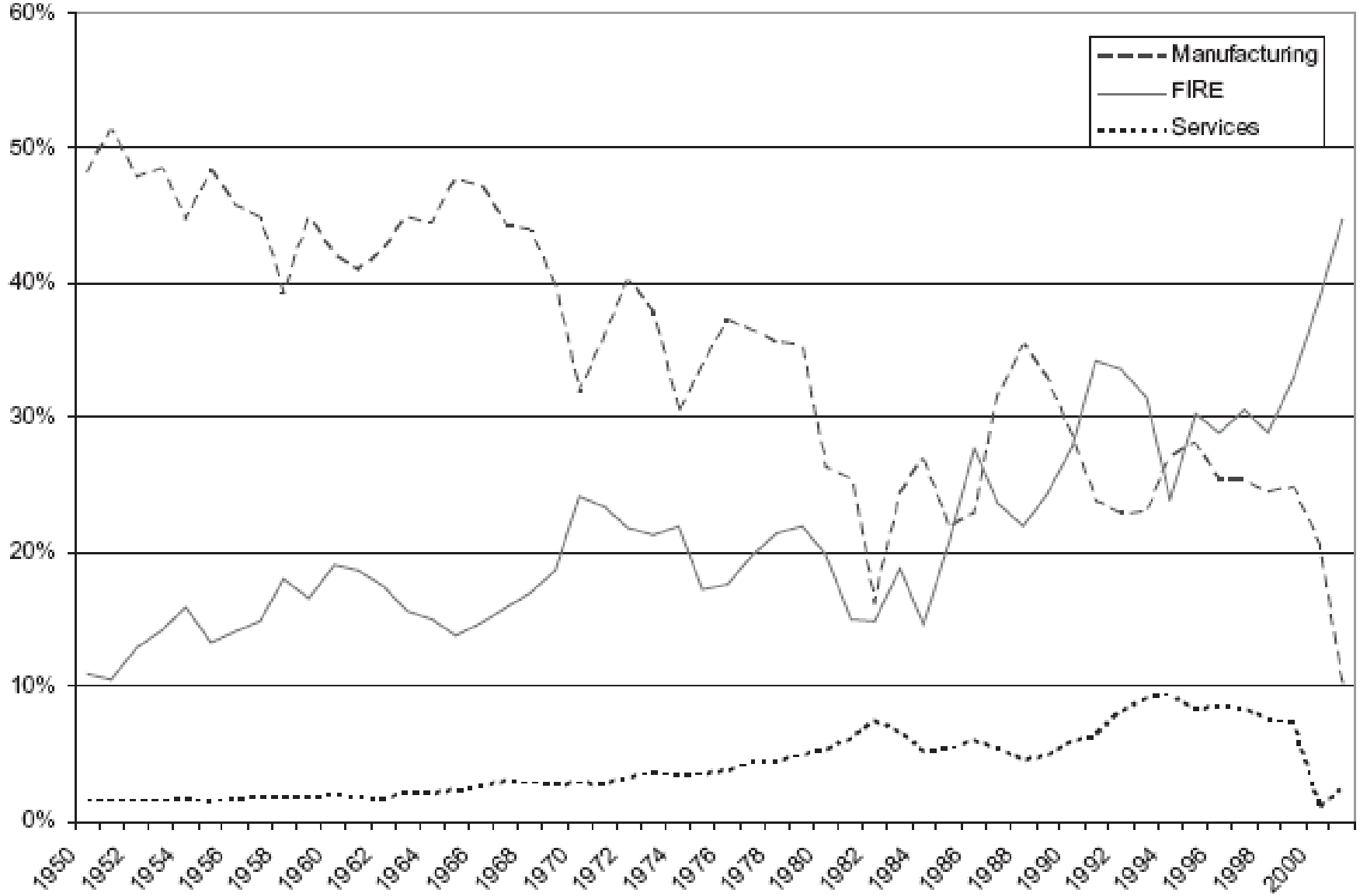


Figure 3 Relative industry shares of corporate profits in US economy, 1950–2001.

(Krippner 2005, 179)

Uneven development

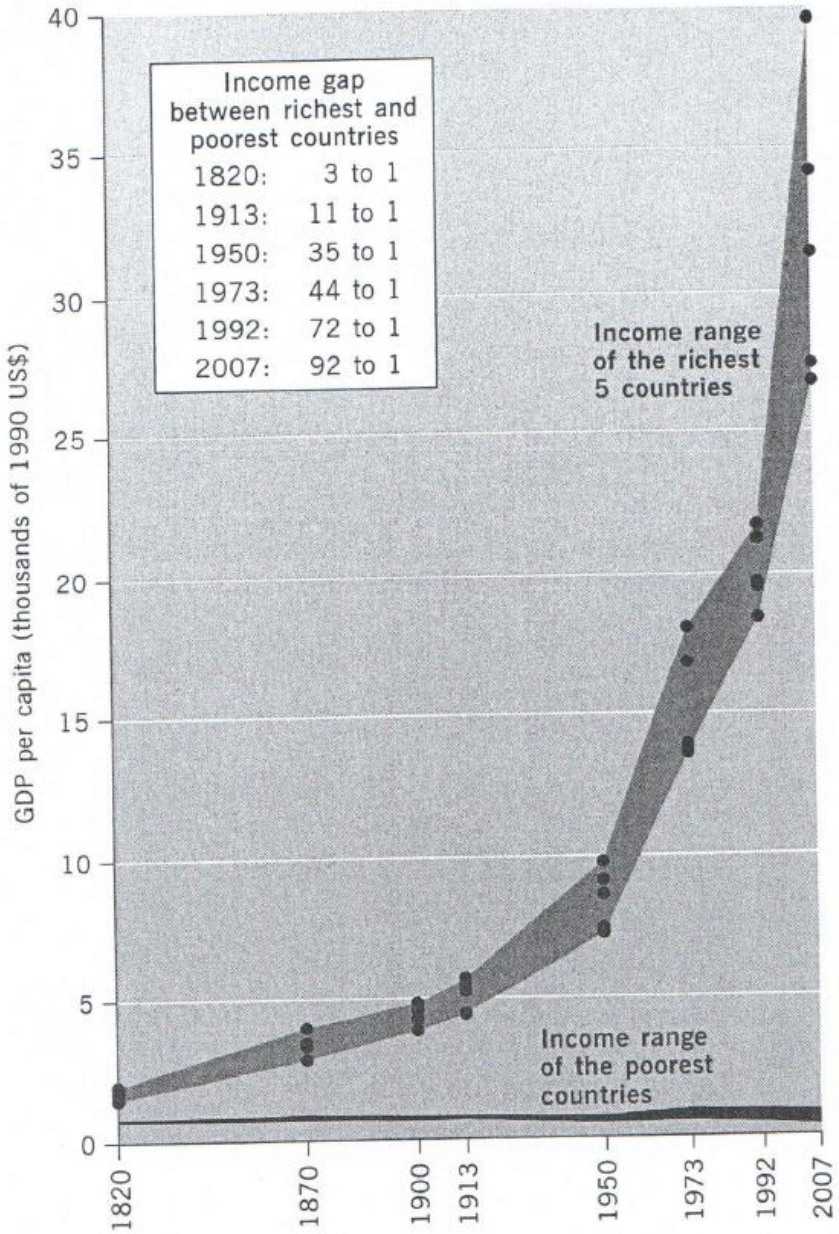


Figure 16.4 The widening income gap between countries

Source: based on UNDP *Human Development Report*, 1999: Figure 1.6; World Bank, 2009b: Table 1

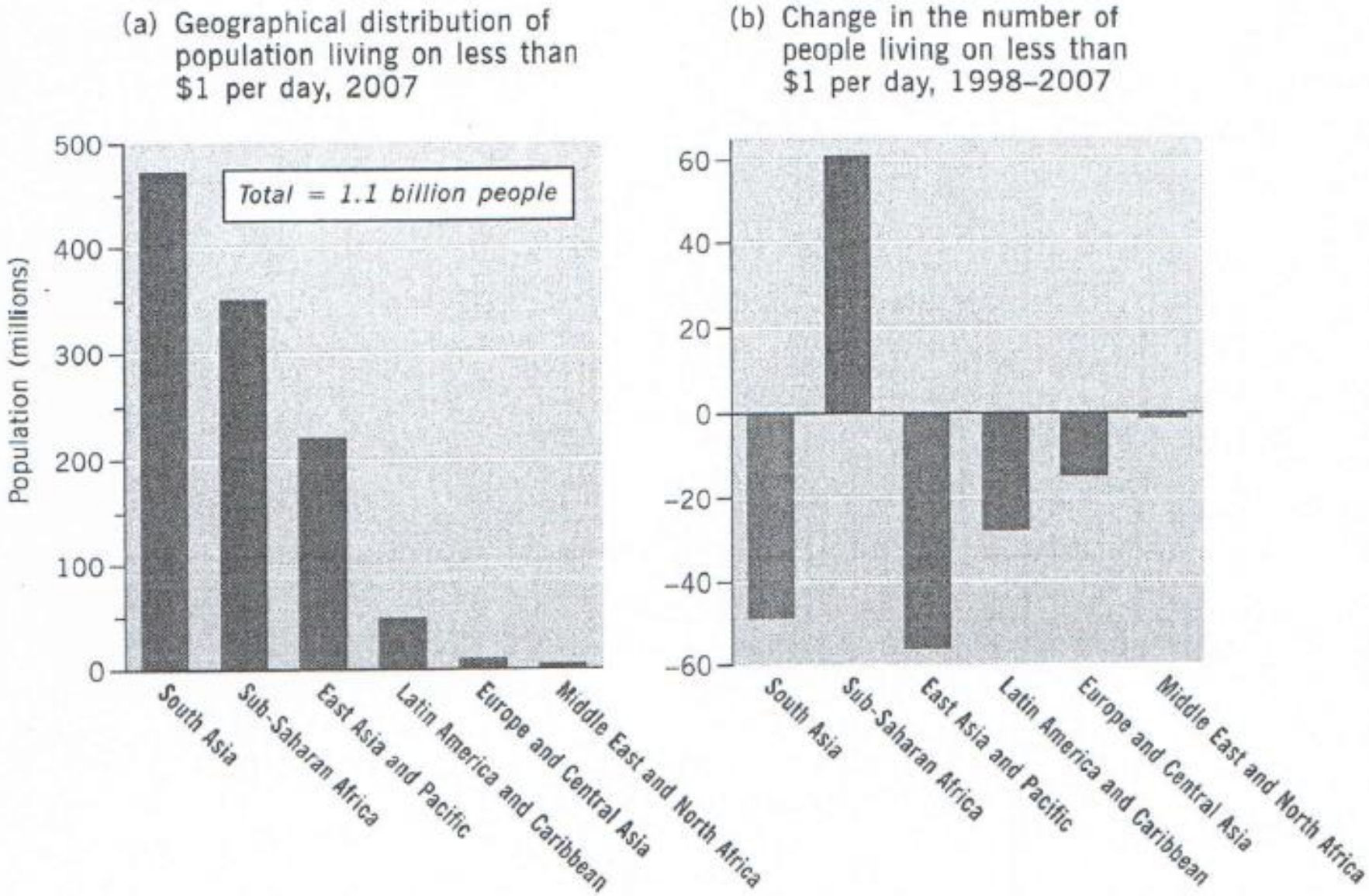
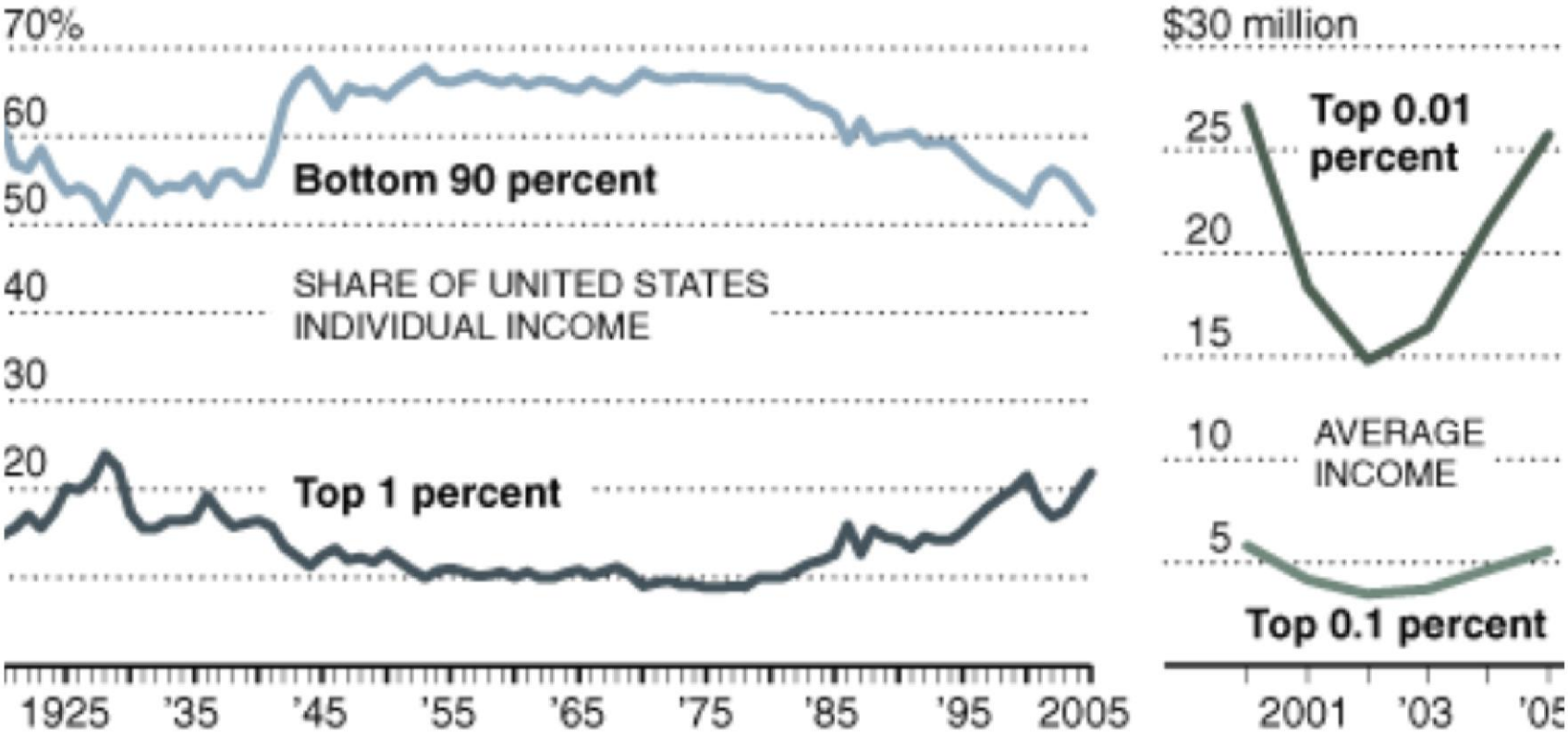


Figure 16.5 Distribution of the world's poorest population

Source: based on data in World Bank *World Development Report*, 2001; 2009

The Roaring 2000s

After a brief dip in the early 2000s because of a decline in the stock market, the share of the nation's income that goes to those at the top has begun to climb again, hitting a level not seen since the 1920s.



Sources: Thomas Piketty, Paris School of Economics, and Emmanuel Saez, University of California, Berkeley, from I.R.S. data

The New York Times

New York Times 4th Apr. 2007